

However, since banks generally have a longer relationship with customers, their due diligence is better than fintechs. “The problem is increasing in the fintech space at a fast clip as there are many new players coming into the marketplace,” says Parmar. Among these players are illegal China-based apps. RBI’s working committee on digital lending found in November 2021 that of the nearly 1,100 such apps available to Indian mobile phone users, nearly 600 were illegal. Such apps usually charge exorbitant interest rates, employ aggressive debt collection techniques, or misuse personal data.

EXERCISE CAUTION

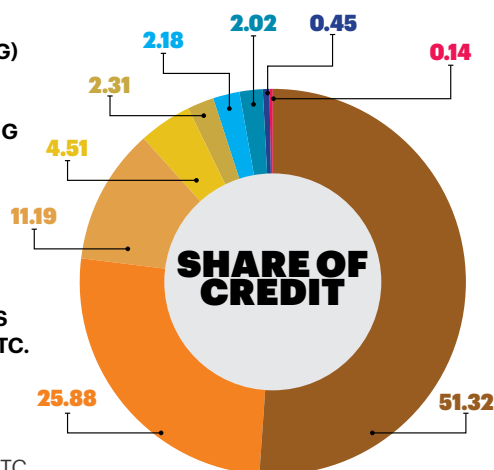
Meanwhile, consumption is on rise in the country and has led to a fall in savings. Recent RBI numbers show that household net financial savings in FY23 dropped to 5.1 per cent of GDP from 7.2 per cent in FY22, while annual financial liabilities surged to 5.8 per cent of GDP from 3.8 per cent in FY22.

The good thing is that NPAs as a whole have not spiked yet. “There is definitely a concern that non-collateralised loans are increasing but cases of loan default are low as everything is based on the credit score,” says Madan Sabnavis, Chief Economist at Bank of Baroda. Experts suggest fintechs, NBFCs and banks need to heed the warning signs and be more cautious while lending. According to the TransUnion CIBIL report, the delinquency rate for credit cards, measured as over 90 plus days past due (DPD), reached 2.94 per cent in March 2023, a jump of 66 basis points over the previous year. Similarly, there was a surge in vintage delinquency in personal loans, escalating from 10 per cent in Q3FY21 to 11 per cent in Q3FY22. Loans for consumer durables have also

- HOUSING (INCLUDING PRIORITY SECTOR HOUSING)
- OTHER PERSONAL LOANS
- VEHICLE LOANS
- CREDIT CARD OUTSTANDING
- ADVANCES AGAINST FIXED DEPOSITS*
- EDUCATION
- LOANS AGAINST GOLD JEWELLERY
- CONSUMER DURABLES
- ADVANCES TO INDIVIDUALS AGAINST SHARE, BONDS, ETC.

*INCLUDING FOREIGN CURRENCY NON-RESIDENT (BANKS), NON-RESIDENT NON-REPATRIABLE DEPOSITS, ETC.

FIGURES INDICATE PERSONAL LOAN BREAK-UP IN PER CENT DATA AS OF JULY 2023; SOURCE CMIE ECONOMIC OUTLOOK



> Credit card outstanding has risen to ₹2.10 lakh crore in March 2023 from ₹1.64 lakh crore a year ago

> During the same period, credit card defaults rose to ₹4,072 crore from ₹3,122 crore

risen to 4 per cent from 2 per cent in Q3FY21. Vintage delinquency is calculated as a percentage of the sanctioned amount on accounts more than 30 days overdue within six months from origination.

There is clearly a need for tighter regulations. A positive development in September 2022 was RBI introducing a comprehensive legal framework to regulate the digital lending ecosystem. Although lending apps don’t fall under its purview, Regulated Entities or REs (banks and NBFCs) engaging with them are obliged to perform a thorough assessment. But despite several measures, complaints have doubled against digital lending apps in FY23, jumping to 1,062, according to a reply of the finance ministry in the Lok Sabha in July.

Meanwhile, the Digital Lenders Association of India (DLAI), comprising more than 90 members, already has a voluntary code of conduct to facilitate customer pro-

tection. “We updated it during the Covid-19 pandemic, and are in the process of another update based on the RBI guidelines. As far as the current scenario is concerned, the percentage of bad loans is relatively low and it varies segment-wise,” says Jatinder Handoo, its CEO.

Experts warn that unsecured lending could potentially jeopardise the financial system, especially if platforms take shortcuts. This is especially worrying as there have been instances of firms neglecting proper KYC documentation or credit bureau checks.

The availability of easy loans can do wonders for financial inclusion. But caution is needed—lenders must be cautious about disbursing loans, while borrowers must be careful about how much they borrow so that India’s digital revolution can remain one that the world wants to emulate. **BT**

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